UNIT - 1

Introduction to Management

Syllabus at a glance

- Management: concept, nature, functions, science or art
- Schools of thought: Taylor, Fayol, Elton Mayo
- Organizational designs: line, line and staff, functional, matrix, project, committee
- Social responsibilities of management

1. Management - Concept & Meaning

Management is the process of getting things done through others by planning, organising, staffing, directing and controlling the available resources (4 M's: men, money, materials, machines + methods) to achieve pre-determined goals efficiently and effectively.

Definitions (must remember)

- F.W. Taylor : "Management is knowing exactly what you want men to do and seeing that they do it in the best and cheapest way."
- Henri Fayol : "To manage is to forecast and plan, to organise, to command, to coordinate and to control."
- Harold Koontz : "Management is the art of getting things done through and with people in formally organised groups."
- Peter Drucker : Management is a multi-purpose organ that manages business, manages managers and manages workers and work.
- Mary Parker Follett : "Management is the art of getting things done through people."

Meaning in simple words

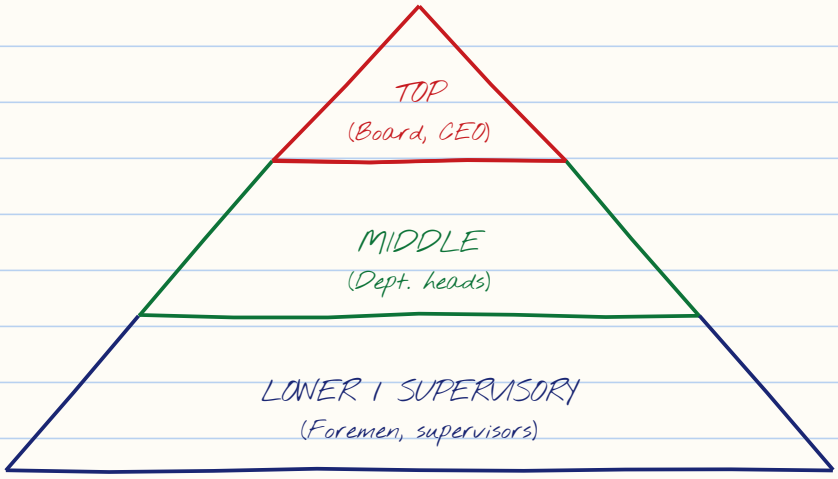
- Management = decision making + resource utilisation + goal achievement
- Efficiency = doing things right (inputs vs outputs)
- Effectiveness = doing the right things (achieving goals)

- A good manager is both efficient and effective

2. Nature (Characteristics) of Management

1. Goal oriented - every management action aims at achieving organisational objectives
2. Universal - needed in business, hospitals, schools, govt., clubs, armed forces
3. Multi-dimensional - management of work, people and operations
4. Continuous process - planning → organising → directing → controlling is a never-ending cycle
5. Group activity - requires team effort and coordination
6. Dynamic function - adapts to changing environment (technology, law, competition)
7. Intangible force - cannot be seen, only felt through results (discipline, profit, morale)
8. Social process - deals with people having feelings, needs and values
9. Authority-responsibility-accountability - manager has the right to command and answers for results
10. Profession or science or art - has body of knowledge, principles and skills

3. Levels of Management & Skills



- Top level : Board of Directors, Chairman, MD, CEO - frame policies, objectives, strategies ; accountable to shareholders

- Middle level : Departmental or functional heads - convert policies into plans and programmes , coordinate between top and lower
- Lower level : Supervisors, foremen, section officers - direct workers , ensure day-to-day output and quality

Robert Katz - three skills of a manager

- Technical skill - Knowledge of methods, tools, processes → most needed at lower level
- Human (interpersonal) skill - leading, motivating, communicating → needed at all levels equally
- Conceptual skill - seeing the organisation as a whole, vision → most needed at top level

4. Functions of Management

The 5 classical functions (Fayol) or 4 modern (Koontz) or POSDCORB (Luther Gulick = Planning, Organising, Staffing, Directing, Co-ordinating, Reporting, Budgeting).

Function	What it means
Planning	Deciding in advance what to do, how, when, by whom . Setting objectives, policies, procedures, rules, budgets, strategies. "Look before you leap"
Organising	Dividing work, grouping activities, assigning duties, delegating authority, establishing relationships → structure
Staffing	Manpower planning, recruitment, selection, training, appraisal, compensation - "right person for the right job"
Directing	Supervision, motivation, leadership, communication - guiding employees to perform
Co-ordinating	Harmonising all activities and efforts; the "essence of management" (Mary P. Follett: reciprocal relating)
Controlling	Setting standards → measuring actual performance → comparing → correcting deviations

Planning-Control link

- Planning is the base, controlling is the check. Planning without control = no use, control without planning = no meaning. They are twin functions ("Siamese twins").

5. Importance of Management

- Achieves group goals - ties individual efforts to common aims
- Increases efficiency - reduces cost, avoids wastage
- Creates dynamic organisation - helps adapt to change
- Achieves personal objectives - motivation, team spirit, good pay
- Develops society - jobs, quality goods, economic growth
- Optimum use of scarce resources

6. Management - Science, Art or Both?

Management as a SCIENCE

- Science = systematic body of Knowledge based on cause-effect relationship, tested by experiments
- Management has organised principles (Fayol's 14, Taylor's principles), developed by observation and experiment (Hawthorne, time study)
- But: principles are not exact like physics, human behaviour is unpredictable, no controlled lab → "inexact or social or behavioural science"

Management as an ART

- Art = personal skill in applying Knowledge to achieve results, needs practice and creativity
- Features of art: theoretical Knowledge, personalised application, based on practice and creativity
- Manager uses communication, leadership, motivation skills in his own style
- Two managers with same Knowledge get different results → skill matters

Management as a PROFESSION

- Profession needs: well-defined body of Knowledge, restricted entry (exam), code of conduct, service motive, representative association
- Management is an emerging profession - lacks compulsory degree or license;

(AIMA, IIMs, ICWA exist)

Conclusion

- Management is both Science and Art - science provides the principles (Knowledge), art provides the application (skill).
- "Science is knowing, art is doing." → A good manager = scientific knowledge + artistic application

Basis	Science	Art
Nature	Systematic knowledge	Personal skill in applying
Based on	Experiment, observation	Practice, creativity
Principles	Universal validity	Personalised
Test	Cause-effect, verifiable	Results achieved
Management	Principles of management	Leadership, communication

7. Management vs Administration

Basis	Administration	Management
Meaning	Determines objectives and broad policies	Executes policies, achieves objectives
Level	Top level	Middle and lower level
Function	Decision-making, thinking	Doing, implementation
Skill	Conceptual	Human and technical
Applies to	Govt., military, big organisations	Business enterprises

8. Schools of Management Thought

Management thought has evolved from ancient times (Chanakya's Arthashastra, Egyptian pyramids) to modern scientific approaches. Main schools:

School	Key persons	Main idea
Scientific Management	F.W. Taylor, Gantt, Gilbreth	Efficiency at shop-floor, "one best way"
Administrative or Classical	Henri Fayol, Urwick, Gulick	Universal principles for the top-level management

School	Key persons	Main idea
Bureaucratic	Max Weber	Rules, hierarchy, impersonality, specialisation
Human Relations or Behavioural	Elton Mayo, Maslow, McGregor	Worker as a human being - social needs and motivation
Quantitative or Management Science	Operations research, Blackett	Maths models, statistics, computers for decisions
Systems approach	Chester Barnard, Bertalanffy	Organisation = open system of inter-related parts
Contingency (Situational)	Lawrence, Lorsch, Fiedler	"It depends" - no one best way; fit to situation

9. Taylor's Scientific Management Theory

Frederick Winslow Taylor (1856-1915) - "Father of Scientific Management". Worked at Midvale and Bethlehem Steel (USA). Book: The Principles of Scientific Management (1911). Aim: replace rule-of-thumb with science to raise productivity.

Four Principles

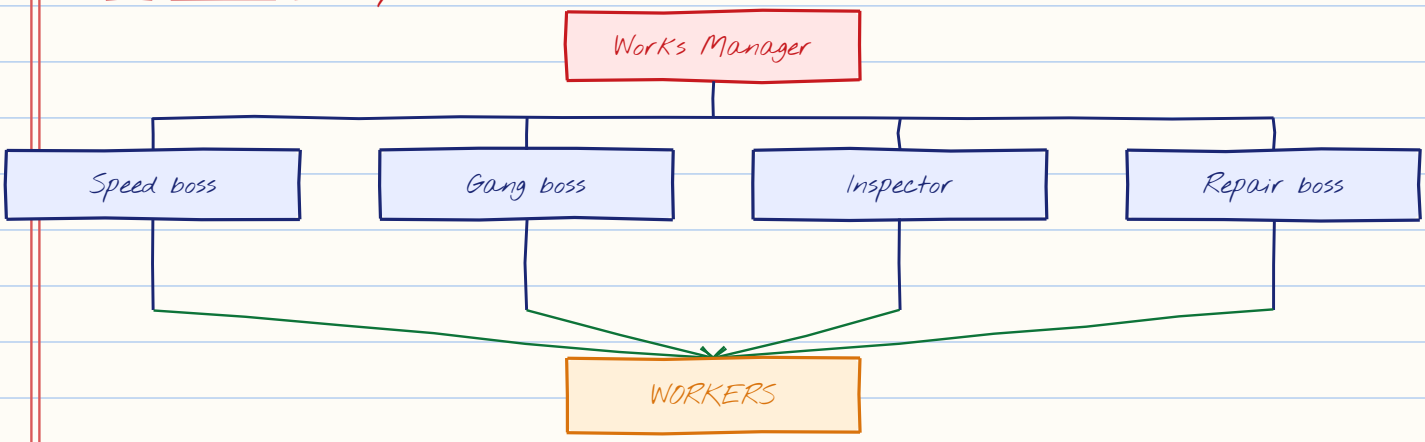
1. Science, not rule of thumb - find "one best way" through time, motion and fatigue study
2. Harmony, not discord - co-operation between workers and management
3. Co-operation, not individualism - mutual trust, no restricted output
4. Maximum output, not restricted output - develop each worker to highest efficiency and prosperity

Techniques of Scientific Management

- Time study : measuring time for each task with a stop-watch → fair day's work
- Motion study (Gilbreth) : eliminating unnecessary movements; "therbligs"
- Fatigue study : rest pauses to reduce tiredness
- Standardisation : of tools, raw material, methods, working conditions
- Differential piece-rate system : higher rate for efficient worker (e.g. Rs.10/unit up to standard, Rs.12/unit above) - penalises low output
- Functional foremanship : 8 specialised foremen (4 in planning dept: route

clerk, instruction card clerk, time and cost clerk, disciplinarian; 4 in production: speed boss, gang boss, inspector, repair boss)

- Scientific selection and training of workers
- Mental revolution : change in attitude of both workers and management - the essence of Taylorism



Taylor's 8 foremen - each worker gets orders from 8 bosses

Merits & Criticism

- Merits: higher productivity, lower cost, better quality, higher wages, scientific selection, standardisation
- Criticism: treats workers as machines (economic man), ignores human and social needs, monotony, unions opposed, violates unity of command (functional foremanship), too much stress on shop floor only

10. Henri Fayol's Administrative Theory

Henri Fayol (1841-1925) - French mining engineer, "Father of Modern (General) Management" . Book: Administration Industrielle et Generale (1916) . Looked at management from the top-level viewpoint.

Six activities of an industrial concern

- Technical (production) - Commercial (buying, selling) - Financial (capital) - Security (protection) - Accounting (records, statistics) - Managerial (planning, organising, commanding, coordinating, controlling)

14 Principles of Management

1. Division of work - specialisation raises efficiency
2. Authority and responsibility - right to give orders goes with accountability

3. Discipline - obedience, respect, agreements
4. Unity of command - one employee, one boss
5. Unity of direction - one head, one plan for a group of activities with same objective
6. Subordination of individual interest to general interest
7. Remuneration - fair to employees and employer
8. Centralisation (and decentralisation) - degree depends on size and nature
9. Scalar chain - line of authority from top to bottom; Gang plank = Fayol's bridge for quick cross-communication
10. Order - "a place for everything and everything in its place" (material order and social order)
11. Equity - Kindness + justice
12. Stability of tenure - avoid high turnover
13. Initiative - freedom to think and execute a plan
14. Esprit de corps - "union is strength", team spirit

Taylor vs Fayol

Basis	Taylor	Fayol
Focus	Shop-floor or operations level	Top management or whole organisation
Approach	Scientist, engineer view	Practitioner, administrator view
Principles	Applied to specific tasks	General and universal
Known as	Father of scientific mgmt	Father of modern mgmt
Unity of command	Violated (8 foremen)	Strictly followed

II. Elton Mayo's Human Relations Approach

George Elton Mayo (1880-1949), Australian psychologist at Harvard. Conducted the Hawthorne Experiments (1924-32) at the Western Electric Company, Chicago, USA - the birth of the Human Relations Movement.

1924-27	1927-29	1928-30	1931-32
Illumination experiments	Relay assembly test room	Mass interview programme	Bank wiring observation room

Phases of Hawthorne studies

1. Illumination experiments - varied light for test and control groups; output rose in both → light was not the only factor
2. Relay assembly test room - 6 girls; rest pauses, hours, pay changed; output kept rising → social/psychological factors (attention, belonging)
3. Mass interview programme - 21,000 employees interviewed; found workers' attitude, informal talk, supervisory style affect output
4. Bank wiring observation room - 14 men; discovered informal groups with own norms ("rate busters", "chiselers") that restrict output

Conclusions

- Social and psychological factors affect productivity more than physical conditions
- Workers are not just "economic men" - they want recognition, belonging, security
- Informal groups exist beside formal organisation and have strong influence
- Supervisory style and participation raise morale → "Hawthorne effect" (behaviour changes when people are observed or given attention)
- Communication and participation important in decision-making

Criticism

- Small sample, poor research design, ignored economic incentives, over-emphasised "happy worker = productive worker", too pro-management

Scientific vs Human relations

- Scientific mgmt: machine model, money motivates, formal organisation
- Human relations: people model, social needs motivate, informal groups matter

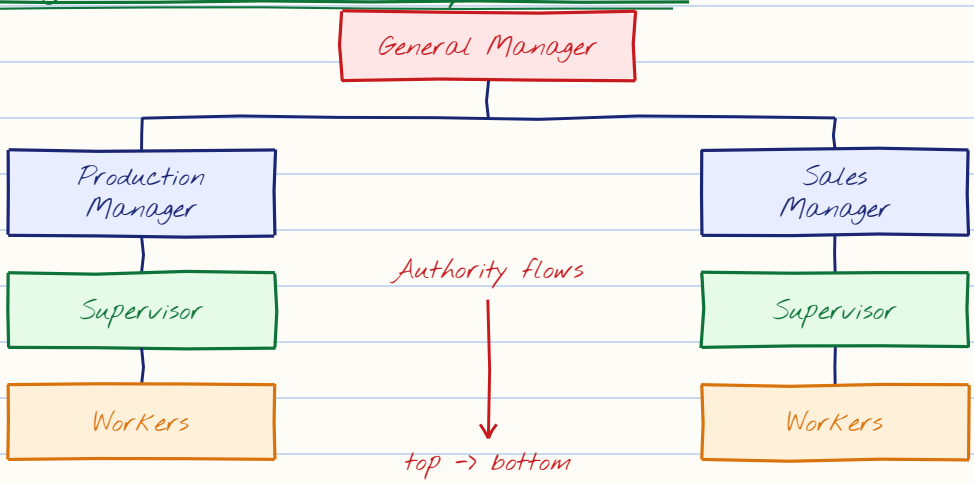
12. Organization & Organizational Designs

Organising = determining activities, grouping them, assigning to people, delegating authority and establishing relationships. An organisation structure is the framework showing who does what and who reports to whom (depicted by an organisation chart).

Principles of organisation

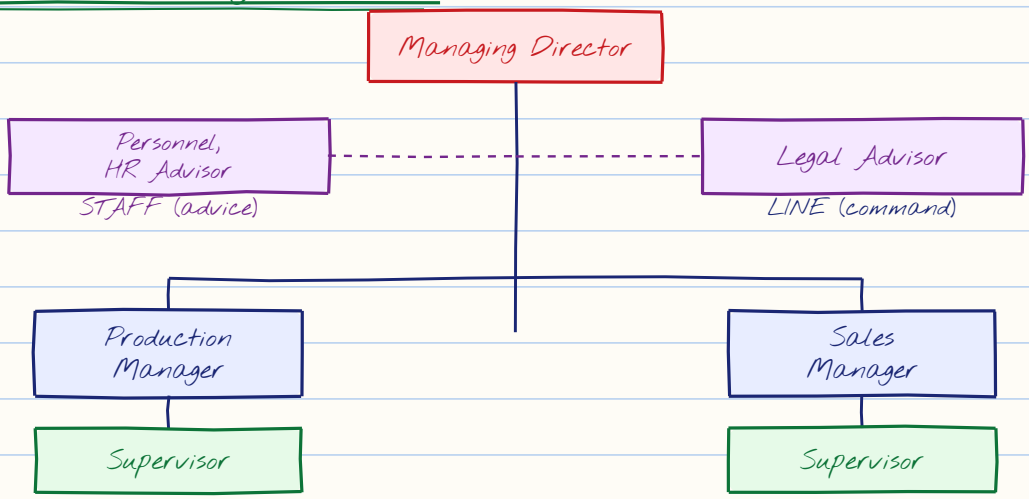
- Unity of objective - Unity of command - Span of control (6-8 at top, 15-20 at lower level)
- Scalar chain - Division of work - Delegation - Balance - Flexibility - Authority = responsibility

(a) Line Organisation - "Military / Scalar"



- Features : direct vertical authority, one boss for one subordinate (unity of command), simple, used in small firms or army
- Advantages : simple, quick decisions, discipline, clear responsibility, economical, unity of command
- Disadvantages : overload on top manager, no specialisation, rigid, autocratic, poor communication, depends on one person
- Suitable for: small and medium units, e.g. a small workshop

(b) Line & Staff Organisation

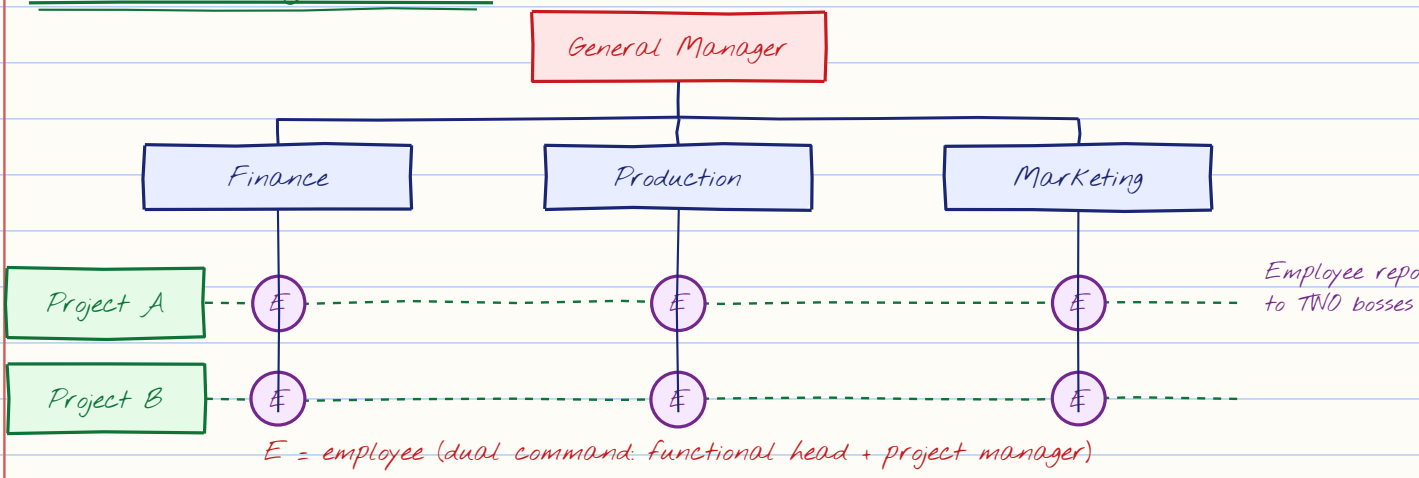


- Line = authority to command and achieve primary objectives, Staff = specialists who advise, help, support the line (no authority to command)
- Types of staff: personal staff (secretary), specialised staff (legal, HR), general staff (planning cell)
- Advantages : expert advice, reduced burden on line, better decisions, balanced growth, flexible
- Disadvantages : line-staff conflict, staff may lack accountability, costly, confusion on authority

(c) Functional Organisation

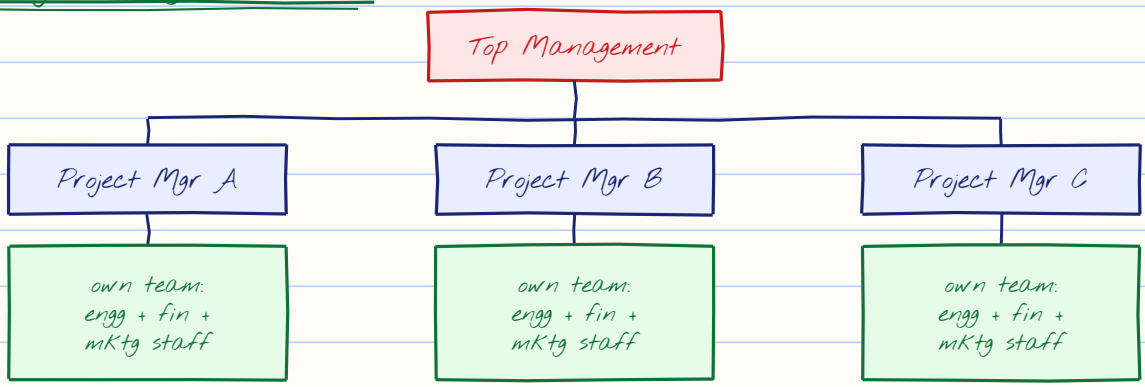
- Based on Taylor's functional foremanship - work is grouped by function (production, marketing, finance, HR) and specialist heads guide workers
- Advantages : specialisation, efficiency, reduced burden, better supervision, expansion easy
- Disadvantages : violates unity of command , confusion and delay, difficult to fix responsibility, inter-department conflict

(d) Matrix Organisation



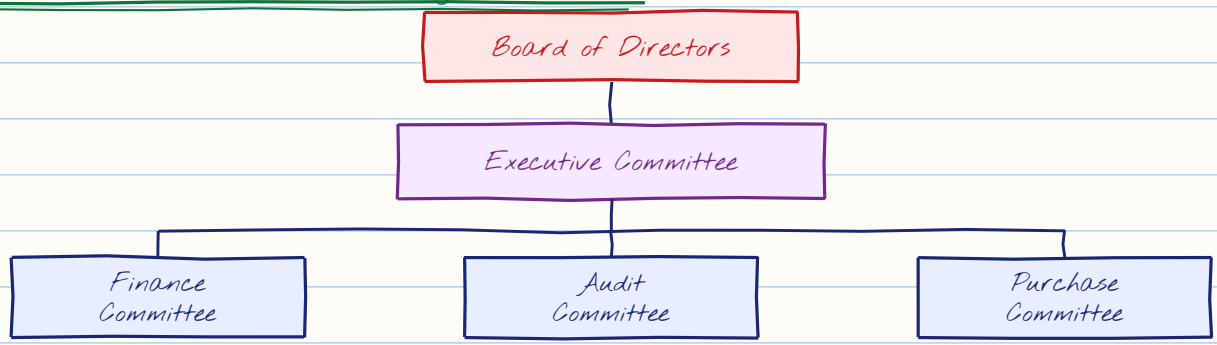
- Combines functional (vertical) + project or product (horizontal) structures; dual command (functional boss + project manager). Used in aerospace, construction, IT, R&D (e.g. NASA, L&T)
- Advantages : efficient use of experts, flexibility, team work, innovation, better project control
- Disadvantages : dual authority → confusion and stress, conflict, costly, needs good communication

(e) Project Organisation



- A temporary structure created for a specific project (dam, bridge, software launch), a project manager has full authority, team members drawn from various departments, dissolved after completion
- Advantages : single focus, speed, clear accountability, skill utilisation
- Disadvantages : duplication of resources, uncertainty after project ends, weak career growth, less specialisation

(f) Committee form of Organisation



- A committee = group of persons to whom a matter is committed for discussion and decision. Types: line or staff, standing (permanent) or ad hoc (temporary), formal or informal, executive, advisory
- Advantages : pooled knowledge and wisdom, group decision, better co-ordination, participation and motivation, checks misuse of power
- Disadvantages : slow, costly, divided responsibility, compromise decisions, "a camel is a horse designed by a committee"

Structure	Key feature	Best suited for
Line	One boss, vertical flow	Small business, army
Line and staff	Line + expert advisers	Medium/large firms
Functional	Specialist bosses	Large, specialised work
Matrix	Dual reporting	Projects + functions together
Project	Temporary team, one manager	Construction, R&D
Committee	Group decision	Policy, co-ordination issues

13. Social Responsibility of Management

CSR = obligation of business to pursue policies, take decisions and follow actions that are desirable in terms of objectives and values of society (Bowen). Business takes resources from society, so it must give back.

Arguments

- For (Keith Davis - Iron Law of Responsibility): long-term self-interest, public image, govt. regulation avoided, better environment, business has resources, "social power creates social responsibility"
- Against (Milton Friedman): business of business is business (profit), dilutes primary goal, costs raise prices, lack of social skills, no accountability to

public

Carroll's pyramid of CSR

- Economic (be profitable) → Legal (obey law) → Ethical (be fair, do right) → Philanthropic (be a good citizen, donate)

Responsibility towards stakeholders

- Shareholders - fair return, true information - Employees - fair wages, safety, training
- Consumers - quality goods, fair price, no adulteration - Government - taxes, law abiding
- Community - jobs, pollution control, education or health programmes - Suppliers and competitors - fair dealing

CSR in India - Companies Act 2013, Section 135

- Applies if company has net worth >= Rs.500 cr or turnover >= Rs.1000 cr or net profit >= Rs.5 cr
- Spend at least 2% of average net profit of preceding 3 years on CSR; form a CSR committee (3+ directors, at least 1 independent)
- Areas (Schedule VII): eradicating hunger and poverty, education, women empowerment, health, environment, rural development, PM Relief Fund, etc.

14. Important Questions (Unit I)

1. Define management. Explain its nature and functions.
2. Is management a science or an art? Discuss.
3. Explain Taylor's scientific management and its techniques.
4. Explain Fayol's 14 principles of management.
5. Discuss the Hawthorne experiments and the contribution of Elton Mayo.
6. Compare Taylor and Fayol.
7. Explain line, line and staff and functional organisation with merits and demerits.
8. Write short notes on: matrix organisation, project organisation, committee organisation.
9. Explain social responsibilities of management.

Last-minute revision

- Taylor = Science, shop floor, 8 foremen, time study, differential piece-rate, mental revolution
- Fayol = 14 principles, 5 functions, top level, unity of command, scalar chain
- Mayo = Hawthorne, informal groups, social needs, Human relations